

The sample portfolios provided should help you narrow your asset allocation decision, although they may not solve your situation completely. Other issues to consider are fees, taxes, and your tolerance for investment risk. Those topics are discussed briefly in this chapter and in more detail in other chapters.

STAGE 1: EARLY SAVERS

Three key components for accumulating wealth are savings habits, investment methods, and cost control. For early savers, the investment method and cost control are important, but it is not as important as developing a savings habit. Saving regularly will build an account faster than anything else a young person can do.

The biggest mistake that young people make is to not learn to save. Ideally, a young person will start saving at the same time he or she lands the first full-time job. The amount of saving at this stage does not need to be excessive. A rate of 10 percent of annual earnings per year is a good start. This can be done through an employer savings plan if one is available, or directly with money received from a paycheck.

Not having the discipline to stick to a savings plan is often the demise for young people. Incomes are typically entry-level pay, and expenses are mounting. Housing costs in some parts of the country are still high. Buying a house can demand a take of more than 40 percent of a person's income, including taxes and upkeep. In addition, the arrival of children adds considerable living expenses, not to mention the new need to save for college.

Career uncertainty is another distraction for early savers. Many young adults do not know the direction their career will take them, or what their true earnings will be. People change careers more often than they did in past generations, and this can result in the interruption of a savings plan.

With increasingly limited free cash and career uncertainty, what can a young person do to formulate a plan for the future? First, many employers have a company retirement plan that employees can contribute to on a pretax basis. Young investors should take full advantage of that opportunity, especially if the employer offers to match the amount contributed. Second, young people should develop an asset allocation that is within their tolerance for investment risk. Do not try to time the markets